# IdeaValidate

Beginner-friendly prototype guide and project report

## 1. Project overview

IdeaValidate is a browser-based prototype that helps people think through a business idea before investing significant time or money. It guides users through questions about the customer problem, market, competitors, financial estimates, and readiness to test. It then creates a transparent self-assessment report with risks and suggested next steps.

## 2. Who it is for

Aspiring entrepreneurs, students, and small business owners who want a structured starting point for examining an idea. It is an educational planning aid, not a guarantee that a business will succeed.

## 3. How to use the app

1) Start an assessment from Home or choose a fictional sample idea.
2) Describe the idea, category, target market, and current stage.
3) Explain the customer problem, who experiences it, and what they do today. Add research and interview counts when available.
4) List competitors or alternatives, estimate the potential market, and describe what makes the idea different. Unknown research can be left blank and will be flagged.
5) Enter a currency, selling price, variable cost per sale, monthly fixed costs, expected monthly sales, and optional initial investment.
6) Rate five readiness criteria from 1 to 5. These are your own ratings, not independently verified facts.
7) Review the answers and generate the assessment report. You can edit it later.
8) Duplicate a report to create a version, compare up to three ideas, export a report as JSON, or print/save the report as PDF.
9) To restore a report, open My Reports and choose Import JSON. Invalid files are rejected. If an ID is already saved, import as a separate copy or cancel; the existing report is never overwritten.

## 4. Readiness score

The app uses five weighted criteria. Each rating is from 1 to 5. An unrated item counts as zero and marks the report incomplete.

## Scoring criteria and weights

Problem clarity: 20%
Customer-demand evidence: 25%
Competitive differentiation: 20%
Financial feasibility: 20%
Readiness to test: 15%

## Scoring formula

Score = sum of (criterion weight x rating / 5) x 100. The weighted contributions are added to produce a score from 0 to 100. For example, ratings of 4, 3, 3, 3, and 4 produce 67/100.

## Score bands

0-39: Major assumptions to investigate.
40-59: Early-stage idea; more validation needed.
60-79: Promising areas; test remaining risks.
80-100: Strong preparation; verify assumptions with real customers.
These labels describe preliminary readiness based on user inputs. They are not the probability of success.

## 5. Financial calculator

Monthly revenue = selling price x monthly sales.
Contribution per sale = selling price - variable cost per sale.
Estimated monthly operating profit = contribution per sale x monthly sales - monthly fixed costs.
Break-even sales = monthly fixed costs / contribution per sale, rounded up, when contribution is positive.
Initial investment is shown separately and is not deducted from the monthly operating profit.

## Financial example

Using price Rs 120, variable cost Rs 85, fixed costs Rs 6,000/month, and 220 monthly sales: revenue is Rs 26,400/month; contribution is Rs 35/sale; estimated operating profit is Rs 1,700/month; break-even volume is 172 sales/month. These simplified estimates exclude costs such as taxes, financing, and seasonality.

## 6. Recommendations and report

Recommendations are produced by explicit rules, not AI. Examples: weak demand evidence suggests customer interviews; missing competitor research prompts competitor research; zero or negative contribution flags pricing/cost concerns; and break-even above estimated sales flags a feasibility gap. The report groups findings into strengths, risks, missing research, and recommended next steps.

## 7. Other prototype features

Sample gallery: fictional ideas for exploring the workflow.
Dashboard and reports: browser-local summaries, search, and category filtering.
Scenario comparison: temporarily adjust price, sales, and fixed costs for up to three saved ideas without changing saved reports.
Duplicate/version: make a separate local copy of an assessment.
JSON export/import: manually back up and restore a report.
Print: use the browser print dialog to print or save a report as PDF.
Theme: switch between light and dark appearance.

## 8. Technology and data

The project uses React, TypeScript, TanStack Start/Router, Vite, Tailwind CSS, and Recharts. Saved reports are stored in browser localStorage. There is no backend or account system. Data does not automatically sync across browsers or devices, and clearing browser data may delete saved reports. JSON export/import provides a manual backup method.

## 9. Limitations

Scores depend on user-provided answers and self-assessment ratings. The scoring model is a simple guide and has not been established as a scientific predictor of business success. Financial calculations are simplified. Sample ideas are fictional examples and must not be

presented as actual research. This prototype is not a production multi-user service.

## 10. Suggested five-minute demo

1) Introduce IdeaValidate as a tool for structuring early-stage idea evaluation.
2) Load a fictional sample or enter an idea.
3) Walk through the wizard and explain that ratings are self-assessments.
4) Show the report, score, risks, and one suggested action.
5) Open Compare and change financial assumptions to demonstrate how estimates respond.
6) Demonstrate JSON export and import.
7) Close by explaining the browser-only storage and simplified model limitations.

## 11. Verification status

At the time of this report, all 13 automated tests passed, TypeScript validation passed, focused lint checks for the import feature passed, and the production build succeeded. The build emits a non-blocking notice that the Vite tsconfig-paths plugin may be redundant.

## Summary

IdeaValidate helps users organize assumptions, examine basic business economics, and identify what to investigate next. Treat its output as a starting point for learning and customer research, not as investment or business advice.